

SUITABILITY

Firstly, gold is suitable for those who are looking at it for its social and consumption value rather than investment value. Gold is an integral part of Indian culture with it being the primary gift in major life events. We need to know that we are forgoing investment value, in return for social value.

The trouble begins when people start accumulating gold in physical format for these occasions for 7-8 years. We already saw that, when dealing with long term goals, we can afford higher risk assets as well and then later convert them to gold. Even if we wish to keep the money invested in gold, ETFs or SGBs are a better way to do so. With SGBs and a 2.5% return on the gold for 7 years, 100 grams of gold will increase to 130-140 grams and we will not have to incur any storage costs as well. We can always convert the SGB to physical gold when it is needed.

The second instance when gold is suitable is again from an everyday jewelry perspective. However, most of this will be added to support assets and not an investable portfolio. A lot of gold buying is also done under social pressure.

Buying gold is a way to exhaust black money. The government is getting stricter day by day and reducing gold's ability to absorb black money. Black money is a personal choice and there is not a lot that we can explain here. We call it a train without an engine.

